and in so doing deliberately infringed its charter. To this firm, Messrs Alexander & Co., the Board directly or indirectly advanced more than ₹23 lakhs, the maximum limit permitted by the charter being ₹1 lakh. After the advances had been made, they accepted some indigo concerns as collateral security though the charter prohibited the lending of money on the security of immovable property. Finally, when the firm failed in December 1832, the Directors worked the indigo factories themselves which was again contrary to the provisions of the charter which expressly prohibited the bank from engaging in trade.

The government Directors had concurred throughout in the action taken, and worse still had not brought the matter to the notice of the government. When their action was called into question, they joined with the other Directors in defending their course of action as the only policy they could properly have pursued. They said that the occasion was one which called for extraordinary and prompt aid, and though they were aware of the clause limiting an advance in excess of ₹1 lakh to any one party on simple personal security, 'they did not decree the spirit of the charter to be opposed to a contingency which it could never have contemplated.'

The bank though not imperiled, had to write off bad debts of ₹4.5 lakhs from 1829 to 1835. The Governor General of the time took a very lenient view of the failure of the government Directors to perform their duty. He felt that the bank was in a tight spot and should be allowed to get out of it in the best way it could. He was of opinion that the charter of the bank which was neither adapted to the circumstances of the country at large, nor even to those of Calcutta, required revision. He also considered the charter which limited advances to ₹1 lakh as absurd. He was of the view that a new charter adapted to the circumstances of the country should be framed: it should be made practical and practicable, and it would be the particular duty of the official Directors to see that its rules were never violated.[9]

Given the views of the Governor General, it is not surprising that about this period there were proposals under discussion for extending the operations of the bank and enlarging its freedom of action. In 1833, the suggestion was made that the bank should take over the disbursement of all civil and military payments at the Presidency town. The government finally declined the bank's offer in 1837 on the ground that no appreciable saving